MISS SKILL DEVELOPMENT

Mind the Gap

If India wants to become a $5 trillion economy, plugging the skill gap of its working population needs to be taken up on a war footing

PRESENTING THE INTERIM BUDGET FOR 2024-25 ON FEBRUARY 1, finance minister Nirmala Sitharaman reeled out some big numbers to highlight the impact of the National Skill Development Mission (NSDM) launched in 2015—14 million youths skilled, another 5.4 million upskilled and reskilled, and the establishment of 3,000 new Industrial Training Institutes (ITIs), the backbone of vocational training in the country. In a rapidly ageing world, India's demographic dividend is considered to be a boon for its ambitious growth targets. But without the right skills and jobs, India's advantage of having 65 per cent of its population under the age of 35 years could easily slip away.

So, under the NSDM, skill training is being provided to the youth through various schemes. Among them is the Pradhan Mantri Kaushal Vikas Yojana (PMKVY)—a short-term training programme of the ministry of skill development and entrepreneurship (MSDE). While the stress is on skill training, data reveals, employability remains an issue. Under PMKVY 2.0, for instance, about 11 million persons were trained between FY17 and FY23 (as of Jan. 5, 2023), but just about 2.14 million, or 20 per cent, of them got placed.

One of the key reasons is the lack of industry-relevant skills offered in the training programmes. In India, the skilling courses are primarily led by the government, which has proved to be counterproductive. "The best people to teach and train," says Jayant Krishna, former CEO and COO of the National Skill Development Corporation (NSDC), "are the people who practise." While subsidised skill training should be available to the poorest of the poor, adds Krishna, intensifying industry's role in skilling is very important.

No wonder, there is also a skill mismatch for the trained candidates. According to the 'India Skills Report 2023' by the online remote proctored testing firm Wheebox, only 50.3 per cent of the 375,000 test-takers across various domains nationally were found to be 'extremely employable'. There is a need for a "paradigm shift", says Nirmal Singh, founder and CEO, Wheebox, as new technologies and jobs look at skills training as a "lifelong process". ■

-Sonal Khetarpal

REPORT CARD

Just about 20% of those trained under the Pradhan Mantri Kaushal Vikas Yojana 2.0* got job offers



*FY17-FY23 (till Jan. 2023)

Source: Ministry of skill development and entrepreneurship

"Government-funded schemes like PMKVY have cannibalised the fee-based market of superior industry-led skilling"

-JAYANT KRISHNA
Former CEO & COO, National Skill Development Corporation

urban workers too have seen their wages grow by only one per cent or less in the past year. The Modi government has indirectly acknowledged their distress by extending the supply of free grains to 810 million poor by another five years from the launch of the scheme in the midst of Covid in April 2020. The lack of surplus money in the hands of vast amounts of the labour force has contributed to the dip in consumption, which in turn has suppressed the private sector's appetite for investment and expansion of goods and services. Non-BJP states, particularly in the South, are also unhappy with the Centre over tax-sharing, citing a mismatch with their contribution.

How will all this play out in the voters' minds as India wades deeper into the general election? Of the four engines of growth, only one—massive public expenditure—is still firing. Exports have flattered to deceive. Private investment and consumption are beginning to pick up, but could do much, much better. The FM, in her interview, says Modi 3.0 will move more rapidly on all key economic issues if the prime minister is re-elected. As in all great democracies, the Indian voter will decide whether the prime minister and his government did a good job on the economic front and deserve a third consecutive term. ■